

complaint

Mr C complains that Society of Lloyd's unfairly rejected the claim he made under his Holiday Caravan insurance policy.

background

Mr C's policy covered the structure and contents of the caravan. They were covered against, among other things, loss or damage caused by accidental damage or storm.

The site where Mr C's caravan was kept was flooded and most, if not all, the caravans there were damaged. Lloyd's rejected Mr C's claim because his policy excluded "*all claims due to flood*". But his representative argued that the flood happened because of storm conditions and the policy covered loss or damage caused by storm.

Our adjudicator said the damage Mr C's caravan suffered was through exposure to flood water. She thought it was clear the policy wasn't intended to cover damage caused by floods. So, her view was that it wasn't unfair for Lloyd's to reject the claim.

Mr C's representative disagreed.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I've seen weather records for the area where the caravan was kept. For the period from two days before the flood to two days after it, they show there were gusts of wind of 75mph or more. They also show large amounts of rain falling in the days before, and on the day of, the flood. And they indicate that some of that rain was of unusual and/or extreme intensity. I think it's reasonable to treat these conditions as storms.

But when he told Lloyd's about the damage, Mr C said "*Storm Frank floated caravan 120 metres approx.*". So, the evidence indicates that the damage was caused by the flood water, rather than the winds. The issue is whether the fact that the policy covered loss or damage caused by storm means Lloyd's should deal with the claim even though loss or damage caused by flood was specifically excluded.

I don't think it does. I've seen evidence that Mr C was told about the exclusion almost three years before the flood. But he continued with the policy despite this. So, like the adjudicator, I consider Mr C and Lloyd's didn't intend loss or damage caused by flood to be covered.

Mr C's representative argued that the storm conditions caused the flood which caused the damage. So, storm was the true cause of the damage. I don't agree. I do agree that the storms caused the river to burst its banks and flood the surrounding area. Or that they at least contributed significantly to causing this to happen. But it was the flood that caused the loss and damage to Mr C's caravan and its contents. If the caravan had been beyond the furthest reach of the flood water, the evidence suggests the loss and damage wouldn't have happened, despite the storm conditions.

I also don't think the damage can reasonably be claimed under the cover for accidental damage, because of the intentions for the policy and the exclusion of "*all claims due to flood*".

It was argued on behalf of Mr C that additional damage was caused when the caravan was moved from where it had come to rest. But the evidence I've seen suggests the flood damaged the caravan to an extent that would have cost more than the sum insured to repair. So, I'm not persuaded that any additional damage can be claimed separately.

In the circumstances, I don't think the rejection of the claim was unfair.

my final decision

I don't uphold this complaint. I make no award against Society of Lloyd's.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr C to accept or reject my decision before 18 April 2017.

S Lilley
ombudsman